

EMI Payments Policy

Due Dates

The EMI due date is fixed at loan disbursement and falls on the same date every month (the 1st, 5th, 10th, or 15th, depending on the disbursement cycle). The due date is printed on the loan sanction letter and on every monthly statement. A grace period of 3 days is given after the due date before a payment is marked overdue.

Accepted Payment Modes

- NACH (National Automated Clearing House) auto-debit from the registered bank account — the default and preferred mode.
- UPI payment via the IIFL app or any UPI app using the loan account's virtual payment address.
- Net banking or debit card payment through the IIFL customer portal.
- Cheque or demand draft deposited at any branch, at least 5 working days before the due date to allow for clearing.

Bounce Charges

If an EMI payment fails or a NACH mandate is dishonoured for any reason (insufficient funds, mandate not registered, technical failure at the bank's end), a bounce charge of Rs. 500 per instance is levied, plus applicable GST at 18%. This charge is added to the next month's statement. There is no cap on the number of bounce charges in a financial year; each failed attempt is charged separately.

Late Payment Penalty

In addition to the bounce charge, a late payment penalty of 2% per month (24% per annum) is charged on the overdue EMI amount from the due date until the date of actual payment. This penalty is calculated on a daily reducing basis and reflected in the next billing cycle.

Auto-Debit (NACH) Setup and Changes

- NACH mandates are set up at loan origination using the customer's bank account and are valid for the full loan tenure unless cancelled.
- To change the bank account linked to NACH, customers must submit a new mandate form along with a cancelled cheque of the new account, at least 15 working days before the next due date to allow processing time.
- Customers can pause or cancel NACH only after fully repaying any overdue amount; requests to cancel NACH without an alternate payment mode in place are not processed.
- If three consecutive NACH attempts fail, the loan account is flagged for manual follow-up and the customer is contacted by the collections team.

Statements and Receipts

Monthly EMI statements are sent by email and are available for download from the app under "Statements." Payment receipts are generated instantly for UPI and net banking payments, and within 24 hours for NACH debits. Any dispute about a specific transaction not reflecting on the account should be raised with a human agent along with the payment reference number, since this requires looking up the customer's specific account.